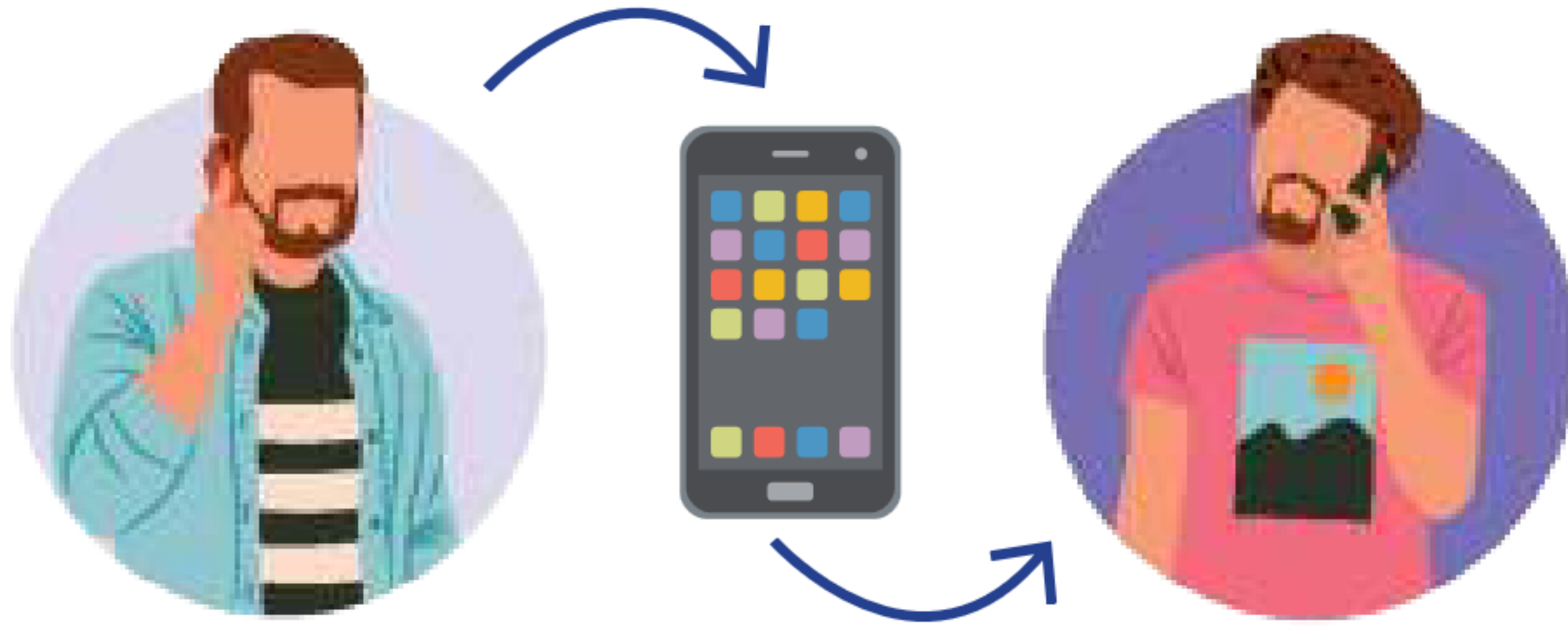


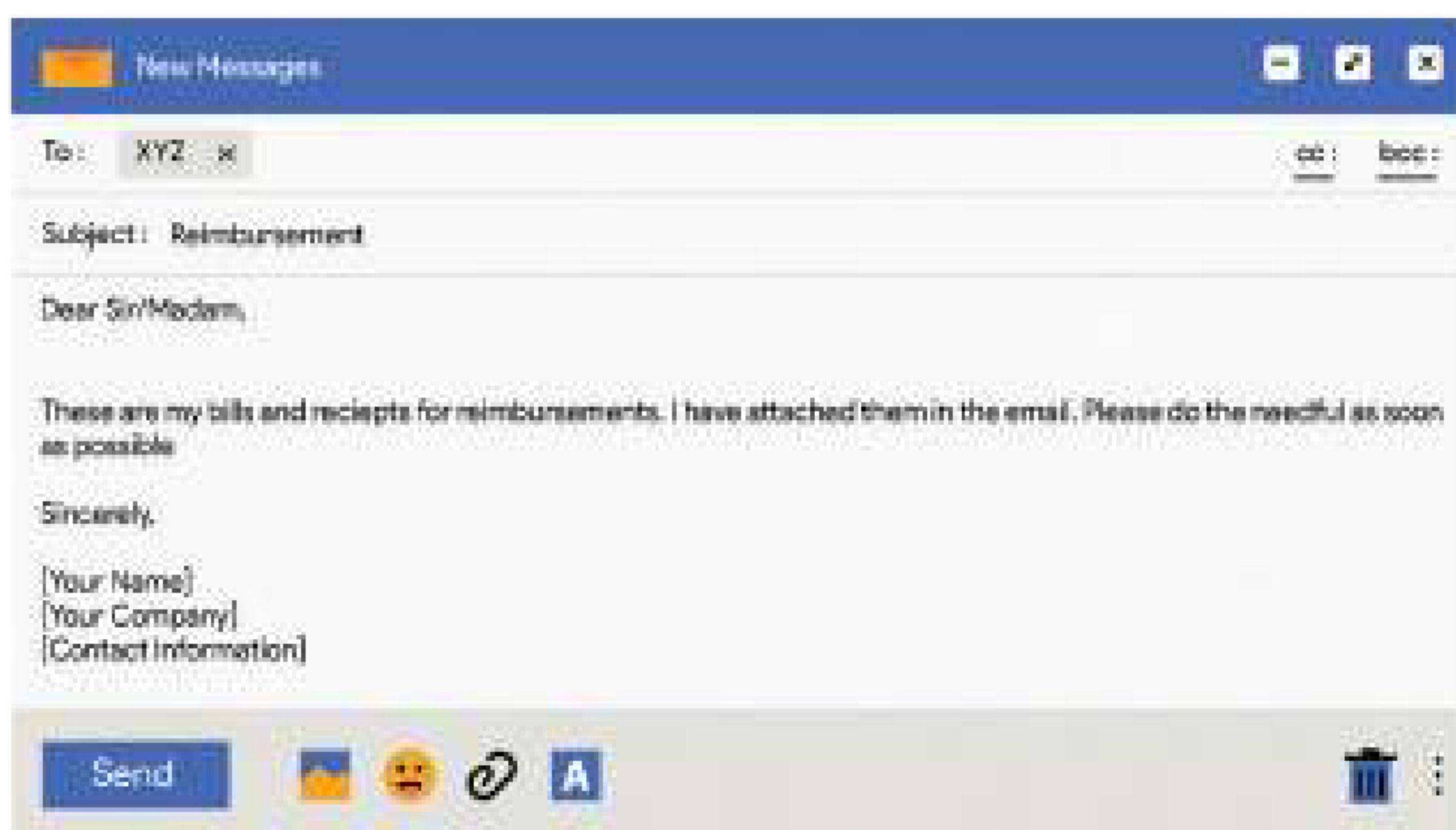
Reimbursement



A potential client calls urgently for a meeting. Ask your employee Raj to book the travel tickets and attend the meeting.



Raj books tickets using his own money.



Raj can submit bills and claim that money back from the organization. The process of reimbursing employees for expenses made on behalf of the organization is called reimbursement. To avoid taxation on reimbursements, it is important to establish and adhere to a reimbursement process.

Process of Reimbursement

You need to define a policy that states the type of expenses that can be reimbursed. You should clearly articulate if an employee needs approval before making an expense. The policy guides the reimbursement process. It is a four step process.

1. Make Expense and Take Bills

An employee makes expenses in line with the policy and collects bills with GST details. This way the organization can claim credit for the GST and reduce overall tax liability.

